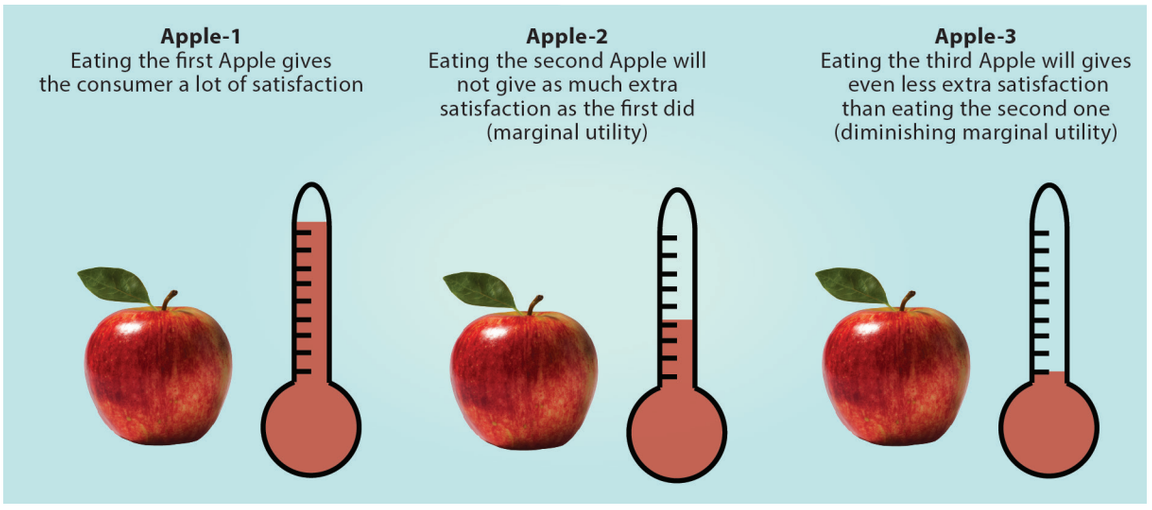


"The Law of Diminishing Marginal Utility'. This is illustrated in table 2.1.

Table 2.1 The Law of Diminishing Marginal Utility

Units of Apple	Marginal Utility	Total Utility
1	20	20
2	15 (35-20)	35
3	10 (45-35)	45
4	5 (50-45)	50
5	0 (50-50)	50
6	-5 (45-50)	45
7	-10(35-45)	35

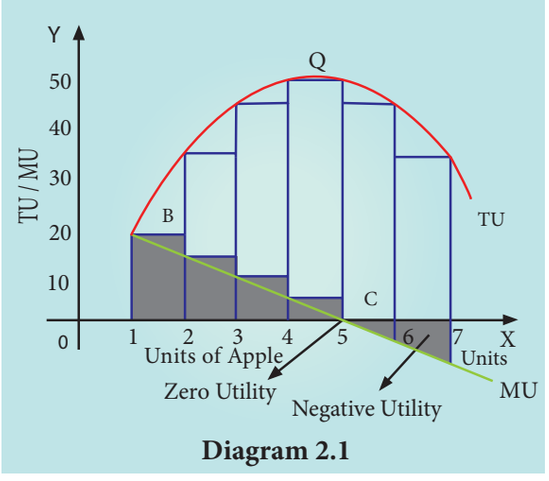


Diagram 2.1

In Table 2.1, we find that the total utility goes on increasing but at a diminishing rate. On the other hand, marginal utility goes on diminishing. When marginal utility becomes zero, the total utility is maximum and when marginal utility becomes negative, the total utility diminishes. Total utility refers to the total satisfaction derived from the consumption of a given quantity of a commodity. Marginal utility is the additional utility derived from one more additional unit of a commodity.

Criticism

1. Utility cannot be measured numerically, because utility is subjective.
2. This law is based on the unrealistic assumptions.
3. This law is not applicable to indivisible commodities.

Exceptions to the Law

1. Hobbies 2. Drunkards 3. Misers 4. Music and Poetry and 5. Readings

Importance or Application of the Law of DMU

1. The Law of DMU is one of the fundamental laws of consumption. It has applications in several fields of study.

Chapter-02.indd 28 1/2/2023 11:42:18 AM